Lecture 1

Management

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Fundamentals of Management

- **2 Credits – 2L per week**
- **30 Hrs of Lectures**
- **Assessment – 40% Project**
  - 60% Final Exam

Why is learning Management Important to you?

- Manage our work
- Manage people
- Manage spending
- Manage our resources
- Manage the Projects
- Market the products
- Be Competitive in the global market

Course Objectives

- Provide a sound understanding of the Management theories, practices and applications to enhance student's managerial decision making ability
- Prepare the students with the skills needed to work in any managerial capacity in any kind of organization

Course Objectives

Familiarize the students with

Management principles, marketing principles, Motivation, leadership techniques, team work, Business Information Systems, eBusiness, Financial Accounting, etc.

Topics Covered

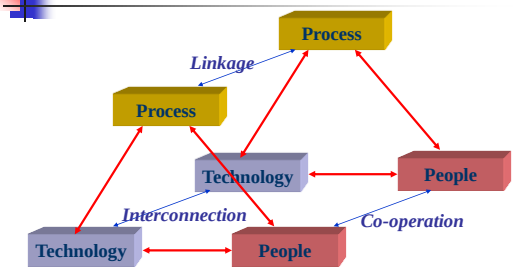
- Introduction to Management Concepts
- Managerial levels, roles, management structure, managerial functions & skills
- Planning, Organizing, Leading and Controlling, etc
- Business Organization and it's Internal External Business Environment
- Motivation
- Leadership

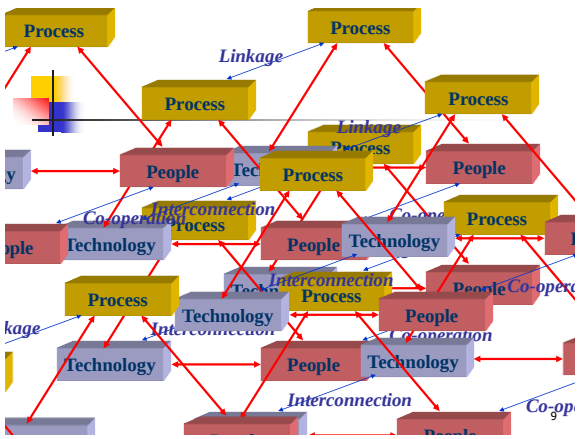
Topics Covered

- Introduction to Marketing
- Ethics and Professional Issues
- Business Information Systems
- eBusiness applications

Class Presentations on various topics

Understanding the Business Processes





Assessment Criteria

Final Exam – 60% - Case study + 3 Questions

Project – 40%

- Select a Company
- Study the Industry Sector
- Study the Company
- Study the Competitors
- Develop a Business Strategy for the Company

Formal Business Report – 20% | **15 mnt Presentation – 20%**

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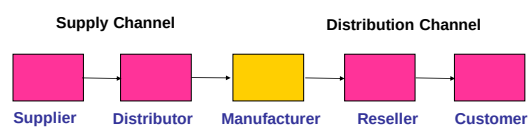
Traditional Value Chain



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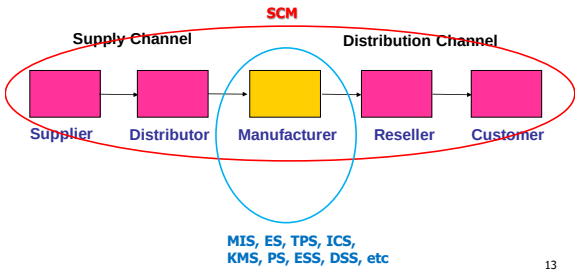

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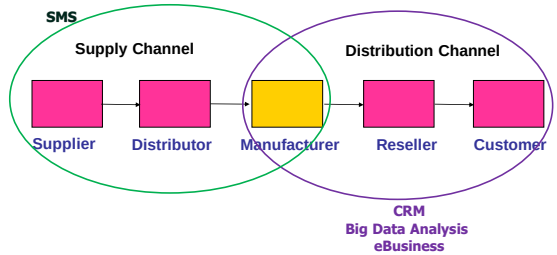

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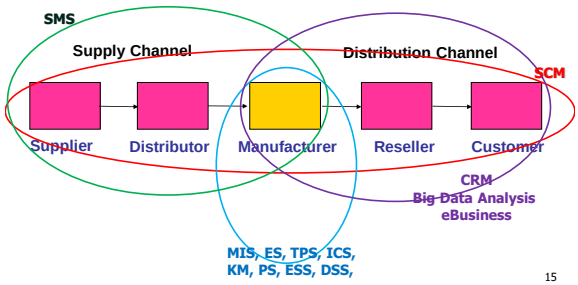

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Definition of Management

The process of planning, organizing, leading and controlling the work of organization members and to optimize the use of available organizational resources to reach stated organizational goals!!

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Definition of a Manager

- People responsible for directing the efforts aimed at helping organizations achieve their goals

Definition of Managerial Performance

- The measure of how **efficient** and **effective** a manager is – How well he/she determines and achieves appropriate objectives

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Efficiency and Effectiveness

- **Efficiency** is the ability to optimise the use of resources in achieving organizational objectives.
- **Doing Things Right!!**
- **Effectiveness** is the ability to determine the appropriate objectives.
- **Doing the Right Thing!!**

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Efficiency and Effectiveness

Efficiency	Effectiveness
1. Efficiency means doing things right.	Effectiveness is doing the right thing.
2. It is focused on process.	It is end result focused.
3. It is the ratio of output/input and focuses on getting maximum output with minimum efforts and resources.	Effectiveness is constantly measured if the actual output meets with desired output or not?
4. Efficiency is a productivity metric.	Effectiveness is a quality metric.
5. Efficiency is the ability to do something or produce something without wasting materials time or energy.	Effectiveness is doing the right things in the right way at the right time.

The management Process

- Planning
- Organizing
- Leading
- Controlling
- Decision making
- Motivating
- Communicating

Planning

- The process of establishing goals and a suitable course of action for achieving those goals
  - Establish Goals for organization
  - Establish goals for sub units, Dept.s
  - Establish programs to achieving goals in a systematic manner

Organizing

- The process of engaging people in working together in a structured way to achieve a specific goal or a set of goals
  - Allocate resources
  - Allocate work authority
  - Allocate teams
  - Allocate deadlines and milestones

Leading

- The process of directing and influencing the task-related activities of group members of an entire organization
  - Establish proper atmosphere
  - Lead and persuade others to join
  - Help employees to do their best
  - Use power and authority appropriately

With Great Power comes Great Responsibility!

What is Power?

- Is it Muscle?
- Is it Money?
- Is it Mind?

Or

- Is it Violence?
- Is it Wealth?
- Is it Knowledge?
- Is it Beauty?
- Is it Competitiveness?

Controlling

- The process of ensuring that actual activities confirm to planned activities
  - Establishing standards for performance
  - Measuring current performance
  - Comparing these with established standards
  - Taking corrective action if deviations are detected

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Decision Making

- The process of identifying and selecting a course of action to solve a specific problem
  - Identifying problems
  - Identifying opportunities
  - Investigating the situation
  - Take decisions minimizing the risk

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Motivating

- The process of using factors that cause, channel, and sustain an individuals behavior to get work done
  - Satisfying the hierarchy of needs
  - Performance, rewards and incentive schemes
  - Fairness
  - Working environment and culture

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Communicating

- The process by which people share meaning via the transmission of messages
  - Dealing with trust, inconsistent verbal and non verbal communication in negotiations
  - Reacting to emotions & different perceptions
  - Vertical & Horizontal communication
  - Presentations, Business letters, email, web based systems

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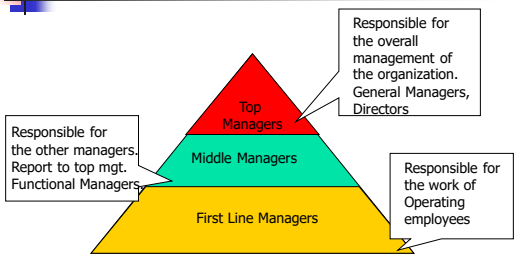
Types of Managers and Managerial Levels



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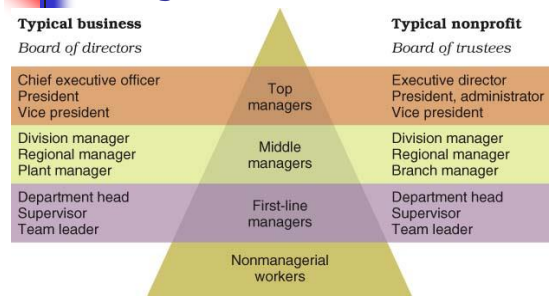
Managerial Levels



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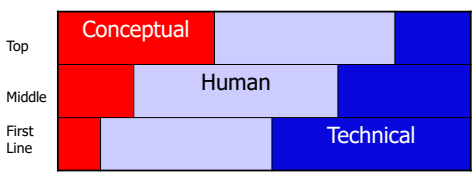
Managerial Skills



- The ability to coordinate and integrate all of the organizations interests and activities
- The ability to work with, understand, and motivate other individuals or groups
- The ability to use the procedures, techniques, and knowledge of a specialized field

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Managerial Skills

- Technical Skills
  - The ability to use a special proficiency or expertise to perform particular tasks.
- Human Skills
  - The ability to work with others.
  - A high level of emotional intelligence
- Conceptual Skills
  - The ability to think critically and analytically.

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Emotional Intelligence

The ability to manage ourselves and our relationships effectively

Five Facets of Emotional Intelligence

1. **Self awareness— understanding moods, emotions**
2. **Self regulation — thinking before acting, controlling disruptive impulses**
3. **Motivation — working hard and persevering**
4. **Empathy — understanding emotions of others**
5. **Social skills — gaining rapport and building good relationships**

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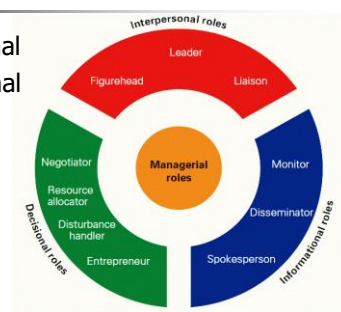
Managerial Roles

- Interpersonal
- Informational
- Decisional



Managerial Roles - Interpersonal

- Figurehead – The symbolic head. Performs duties of social and legal nature – greeting visitors, signing legal docs.
- Leader – Responsible for motivating and directing the subordinates in achieving objectives
- Liaison – Maintain a network with the outside and provide information to the organization – Acknowledging mail, performing activities with external parties

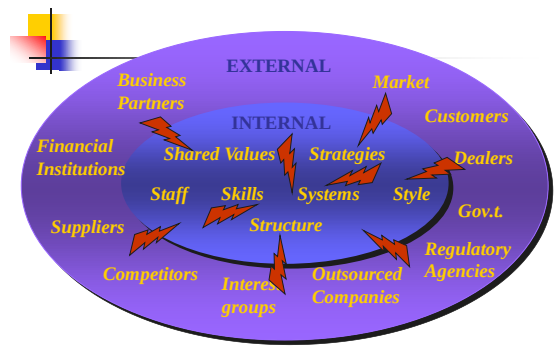
Managerial Roles - Informational

- Monitor – Seeks and receives a wide variety of information to develop a thorough understanding of the internal/external environment – Reading periodicals, reports and maintaining contacts
- Disseminator – Transmits information received from outside to the internal subordinates and other employees in the organisation
- Spokesperson – Transmits information to the outside world on plans, policies, actions and act as an expert in providing information to the outside world

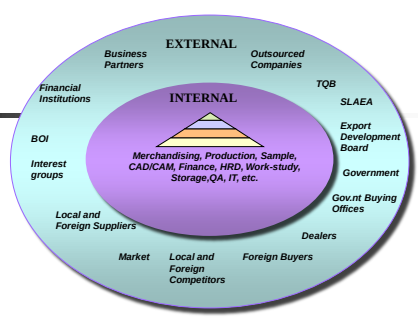
Managerial Roles – Decisional

- Entrepreneur – Searches for opportunities for the organization to improve and start new projects on. Develop strategies to bring about change.
- Disturbance Handler – Responsible for corrective actions when organization faces important unexpected disturbances and problems.
- Resource Allocator – Allocation of resources for projects and budgeting – Allocates available funds to projects based on priority
- Negotiator – Responsible for representing the organization at major negotiations

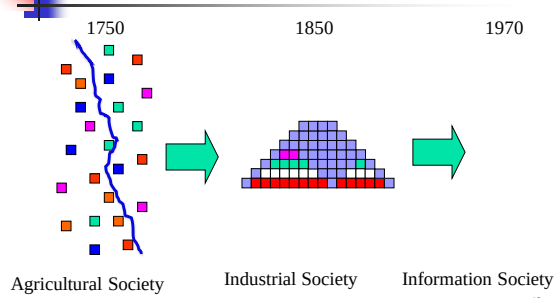
The Business Environment



The Internal/External Business Environment of the Garment Sector



Social Transformation



Features of Agricultural Era
"*Six pillars*" Of Agriculture

I. Soil
II. Water
III. Climate
IV. Seed
V. Tools
VI. Peasants

Resources in the Agricultural Era

- Land & Natural resources
  - Labor (Workers)
  - Capital (Money, Machinery and Tools)
  - Knowledge (About Agriculture)

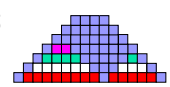
Augmenting Muscle Power

- Invention of the Steam engine
- Discovery of Electricity and invention of the electric motor
- Internal Combustion Engine
- Assembly Lines
- Automation

DNA of Industrial Society

Essential characteristics of the industrial society.

- Standardisation --> Mass production
- Specialisation --> Compartmentalised structures
- Synchronisation --> 9 to 5
- Concentration
- Maximisation
- Centralisation
- Optimisation



Industrial Society

Organizational and Management Structure of Industrial age Org.s

Adam Smith
Concept of Division of Labour
Ref. Wealth of Nations - 1766

Henry Ford
Assembly Lines
Brought work to worker -1890

Alfred Sloan
Management Structures
Apply division of Labour to Management

Large Scale Strategic Planning
Monitoring divisional performance and Intervening to adjust plans and activities

The specialization and concentration of the workers on their single subtasks - greater skill and greater productivity on their particular subtasks

Advantages of Division of Labour

- Learning Curve efficiencies
  - More repetitions - learning faster ways to perform task
  - More efficient in time, Increases productivity
  - Concentration on one repetitive task - more skilled
  - Steepening of the Learning Curve
  - Reduces the time needed for training - task is simplified
- Little time spent moving between tasks - Reduce idle time
- The overall quality of the product will increase
- Possible to influence how production takes place

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Disadvantages of Division of Labour

- The worker does not feel responsible for the end result
- Lack of motivation: the quality of labour decreases while absenteeism may rise.
- Repetitive Motion disorder
- Growing dependency: a break in production may cause problems to the entire process.
- Loss of flexibility: workers have limited knowledge while not many jobs opportunities are available.
- Higher start-up costs: high initial cost to buy special machinery

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Draw backs of Industrialisation

- **Inefficiency of large bureaucracies**
  - **Only a few are empowered to make decisions**
- **Environmental Impact**
  - **Acid rains**
  - **Pollution**
- **Social unrest**
  - **break up of the extended family**
  - **Assumption that workers are interchangeable**

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Product Disruption: Examples of Digitization Across Industries

Industry	Traditional Format		Digital Format
Product Substitution			
Recorded music	**LP records, tapes**	➡	**CDs, MP3**
Journalism	**Newspaper, magazine, television, radio**	➡	**Web site**

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Product Digitization: Examples of Digitization Across Industries

Industry	Traditional Format		Digital Format
Service Substitution			
Banking	**Cash, check**	➡	**Smart card, web banking and payment systems**
Photo-finishing	**Film to paper**	➡	**Digital to paper, film to digital**

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